

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN

AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

MOTION TO STRIKE NEW EVIDENCE AND ARGUMENTS
SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.

TABLE OF CONTENTS

I.	INTRODUCTION AND RELIEF REQUESTED.....	1
II.	STATEMENT OF FACTS	1
III.	ARGUMENT.....	3
	A) The Presiding Officer should not consider CMI's new arguments or evidence presented for the first time in its Reply.	3
	B) The Presiding Officer should disregard CMI's responses to SBA's responses to CMI's findings of fact.	5
IV.	CONCLUSION.....	6

TABLE OF AUTHORITIES

Page(s)

CASES

<i>Giglio Sub. S.N.C. v. Carnival Corp.</i> , No. 12-21680-CIV, 2012 AMC 2705 (S.D. Fla. Sept. 26, 2012)	4
<i>Herbert v. Nat'l Acad. of Scis.</i> , 974 F.2d 192 (D.C. Cir. 1992)	3, 4
<i>Jurich v. Compass Marine, Inc.</i> , 906 F. Supp. 2d 1225 (S.D. Ala. 2012)	3
<i>Universal Fixture Mfg. Co. v. Asia N. Am. Eastbound Rate Agreement</i> , FMC 92-09, 1992 FMC LEXIS 78 (1992)	4

STATUTES

28 U.S.C. § 1746	4
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OTHER AUTHORITIES

46 C.F.R. § 502.70	3
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I. INTRODUCTION AND RELIEF REQUESTED

On June 15, 2018, CMI Distribution, Inc. (“CMI”) filed CMI Distribution Inc.’s Reply Brief (“Reply”). Rather than limit its Reply to arguments on the merits issues addressed in Service By Air, Inc. (“SBA”) and Radiant Customs Services Inc.’s Brief of Respondents, CMI introduced new evidence and made new arguments in its Reply. It also filed an additional brief, entitled “Deficiencies in SBA’s Responses to CMI’s Proposed Findings of Fact.”

As this was improper, the Presiding Officer should strike the new evidence, arguments, and unauthorized brief. In the alternative, the Presiding Officer should allow SBA to file a second sur-reply to address CMI’s new arguments and evidence, and should grant SBA an opportunity to file a response to CMI’s additional brief and/or allow SBA to file a similar brief responding to CMI’s responses to SBA’s proposed findings of fact.

II. STATEMENT OF FACTS

On October 30, 2017, the Presiding Officer issued his Scheduling Order, which permitted CMI to file a brief, proposed findings of fact, and an appendix; SBA to file a brief, proposed findings of fact, appendix, and responses to CMI’s proposed findings of fact; and CMI to file a reply brief and responses to SBA’s proposed findings of fact. Scheduling Order at 2 (Oct. 30, 2017).

On May 16, 2018, after CMI had filed its brief, appendix, and proposed findings of fact and SBA had filed its response, appendix, responses to CMI’s proposed findings of fact, and its own proposed finding of facts, the Presiding Officer issued an Order Amending Scheduling Order directing the parties to file a Joint Supplemental Appendix “containing all of the documents related to the shipping of each container for which CMI seeks a reparation award.” Order Amending Scheduling Order at 2 (May 16, 2018). It also vacated the original filing deadline for CMI’s reply, and provided a new date by which “CMI may file its reply to the

SBA/Radiant response to its merits brief.” *Id.* at 3. The Presiding Officer expanded the permissible scope of CMI’s Reply, allowing it to “include a section . . . addressing the evidence included in the joint supplemental appendix.” *Id.* Finally, the Order Amending Scheduling Order granted SBA leave to file a sur-reply “limited solely to the section of CMI’s reply brief addressing the evidence included in the joint supplemental appendix.” *Id.* (formatting altered).

On June 15, 2018, CMI filed its Reply and a separate, additional brief entitled “Deficiencies in SBA’s Responses to CMI’s Proposed Findings of Fact.” The Reply introduced new evidence, including new testimony via a declaration, and made new arguments that CMI did not raise in its opening brief, and that SBA did not raise in its response.

Specifically, CMI submits the following new evidence by way of “supplemental exhibits” with its Reply: SBA’s Terms and Conditions (Supplemental Exhibit 1); emails between Bryan Tincher and Jay Jalowiecki (Supplemental Exhibit 2); emails between LAS-SWEG Logistics (Shanghai) Ltd. and Mr. Tincher (Supplemental Exhibit 3); an undated Declaration of Mike Gallo in Support of Judgment Against SBA (Supplemental Exhibit 4); emails between Mr. Tincher and Diana Alvarado (Supplemental Exhibit 5); charts apparently created by CMI to support its claimed damages (Supplement Exhibits 6, 7, and 8); and “[t]hree additional air waybills for which no demurrage was sought” (Supplemental Exhibit 9), *see* Reply at 9 n.11.

CMI also raised new arguments, including an apparently new or different measure of damages than addressed in its Opening Brief, and an argument that the Presiding Officer should presume that SBA committed “outright fraud” when considering damages. *See* Reply at 29–33.

On June 28, 2018, counsel for both parties conferred telephonically about CMI’s improper submission of new evidence and arguments. Counsel for CMI declined to withdraw his new evidence and arguments, or to consent to SBA responding to the same. Both counsel

acknowledged that, because they were unable to reach an agreement, SBA would file this motion to strike. This motion is opposed.

III. ARGUMENT

A) The Presiding Officer should not consider CMI's new arguments or evidence presented for the first time in its Reply.

CMI did not limit its Reply to the merits of SBA's response to the merits of CMI's opening brief and the Joint Supplemental Appendix, and presented new evidence and declaration testimony, and raised new arguments. This is improper, and the Presiding Officer should either strike CMI's new evidence and arguments or allow SBA to file a second sur-reply to address them.

It is well established that new arguments raised for the first time in a reply brief will not be considered. *See, e.g., Herbert v. Nat'l Acad. of Scis.*, 974 F.2d 192, 196 (D.C. Cir. 1992) ("This Court, of course, generally refuses to entertain arguments raised for the first time in an appellant's reply brief."); *Jurich v. Compass Marine, Inc.*, 906 F. Supp. 2d 1225, 1230 (S.D. Ala. 2012) ("District courts, including this one, ordinarily do not consider arguments raised for the first time on reply"); *cf.* 46 C.F.R. § 502.70(c) ("A reply [to the response to a dispositive motion] may not raise new grounds for relief or present matters that do not relate to the response and must not reargue points made in the opening motion."). In its Reply, CMI argues for a different measure of damages than the one it proposed in its Opening Brief.¹ *See* Reply at 29–33.

¹ In its Opening Brief, CMI asserted that it was entitled to recover \$276,050, which represented "the demurrage and related charges at issue," or at the very least \$199,095.50 (representing overcharges reflected in the Ferreira Expert Report (\$65,429), "CMI's calculations of the amount that SBA marked up underlying drayage charges it received" (\$42,570), and "demurrage charges assessed by SBA for which it does not appear that SBA provided any underlying charge" (\$91,096.50)). *See* CMI Distribution Inc.'s Opening Brief in Support of Its Claims Against SBA at 25–26. In its Reply, CMI asserted that it was entitled to \$248,000 "in demurrage charges which were not reflected in a tariff published in accordance with the Shipping Act," as well as \$29,185.58 "in marked up freight charges" (totaling \$277,185.58) or, at the very least, \$153,868 (representing the corrected amount in the Ferreira report (\$65,494.50) and "the amount that CMI marked up demurrage charges for other shipments not addressed in" the Ferreira Expert Report (\$88,373.50)) and \$29,185.58 in "freight overcharges" (totaling \$183,053.58). *See* Reply at 29–33.

It supports its new damages claim with charts CMI itself created, and which include unsubstantiated assumptions about 100% markups for various demurrage charges. *See id.*; Suppl. Exs. 6–8. It also asserts, for the first time, that when considering damages, the Presiding Officer should presume that SBA committed “outright fraud.” *See Reply* at 32–33.

Again, CMI submitted nine supplemental exhibits containing new evidence. Perhaps most egregious is the new, undated Declaration of Mike Gallo in Support of Judgment Against SBA. *See Suppl. Ex. 4*. CMI did not name Mr. Gallo as a witness in its Initial Disclosures or in response to SBA’s discovery requests, and his declaration is deficient as a matter of law because it is undated. *See* 28 U.S.C. § 1746. “When a declarant fails to include a signed *and dated* declaration under penalty of perjury, courts will disregard the substance of the statement.” *Giglio Sub. S.N.C. v. Carnival Corp.*, No. 12-21680-CIV, 2012 AMC 2705, 2716 (S.D. Fla. Sept. 26, 2012) (emphasis added). Under these circumstances, the Presiding Officer should strike it.

If CMI’s newly presented arguments, testimony, and other evidence are considered, the Presiding Officer should permit SBA to file a second sur-reply to respond to them. “Presiding officers have the authority to waive the general rule prohibiting a reply to a reply under certain circumstances, and [presiding officers] have exercised this authority ‘to prevent undue hardship, manifest injustice or if the expeditious conduct of business so requires.’” *Universal Fixture Mfg. Co. v. Asia N. Am. Eastbound Rate Agreement*, FMC 92-09, 1992 FMC LEXIS 78, at *2 (1992) (quoting 46 C.F.R. § 502.10). This would be consistent with the Presiding Officer’s rulings in SBA’s earlier Motion to Dismiss. *See Order to Supplement the Record* (Aug. 16, 2017); *see also Herbert*, 974 F.2d at 196 (“To consider an argument discussed for the first time in reply would be manifestly unfair to the appellee who, under our rules, has no opportunity for a written response.”).

B) The Presiding Officer should disregard CMI's responses to SBA's responses to CMI's findings of fact.

The Presiding Officer's October 30, 2017 Scheduling Order permitted CMI to file only a "reply brief and responses to Respondents' proposed findings of fact." *See* Scheduling Order at 2. The Presiding Officer's May 16, 2018 Order vacated the original filing deadline for CMI's reply, and stated, "CMI may file its reply *to the SBA/Radiant response to its merits brief* on or before June 15, 2018. CMI may include a section in its reply brief addressing the evidence included in the joint supplemental appendix." Order Amending Scheduling Order at 3 (emphasis added).

In addition to the new arguments and evidence discussed above, CMI's Reply included a section responding not to SBA's response to CMI's merits brief, but rather attacking the purported insufficiency of SBA's responses to CMI's proposed findings of fact. *See* Reply at 4–5. Because this section of the Reply does not respond to SBA's response to CMI's merits brief, it is outside the scope of the Reply permitted by the Presiding Officer's Amended Scheduling Order. The Presiding Officer should therefore strike this portion of the Reply.

CMI also filed a separate brief (entitled "Deficiencies in SBA's Responses to CMI's Proposed Findings of Fact") addressing SBA's responses to CMI's proposed findings of fact. The Presiding Officer's Amended Scheduling Order did not authorize this additional brief. Accordingly, the Presiding Officer should strike CMI's additional brief in its entirety.

In the alternative, the Presiding Officer should permit SBA to respond to CMI's arguments attacking SBA's responses to CMI's proposed findings of fact by way of a second sur-reply and/or permit SBA to file its own brief responding to CMI's responses to SBA's proposed findings of fact.

IV. CONCLUSION

For the foregoing reasons, the Presiding Officer should strike the new arguments and evidence presented in CMI's Reply and unauthorized additional brief. In the alternative, the Presiding Officer should grant SBA an opportunity to respond to CMI's new evidence, arguments, and separately filed brief.

Respectfully submitted,


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July 5, 2018

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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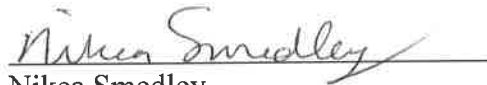
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I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 5th day of July, 2018.


Nikea Smedley